

Beltone*Risk Readiness*
Assessment.

GROUP RISK ASSESSMENT

CAIRO · MAY 2026

PAGE 1 OF 2

ASSESSMENT PURPOSE

Assessment of **Beltone (Egypt)** risk readiness across the subsidiary stack. Objectives: validate maturity across all risk types, identify control gaps, evaluate alignment with Avalora Group risk frameworks, and define a prioritised remediation plan.

i Risk snapshot.

Technology & Data Integrity HIGH	Fraud Risk HIGH	PQR Standardisation HIGH	Performance Risk (HR) HIGH	Operational Risk · RCSA / SoD HIGH
Microfinance · Key-man & Black Box HIGH	Seven · Maker-Checker & Tech MEDIUM	Governance & Compliance HIGH	Framework Alignment MEDIUM	Cyber Risk OUT OF SCOPE

ii Top findings.

- 01 Scalability & Data Integrity

HIGH

The current technology landscape is not conducive to growth. Over-reliance on manual processes poses a direct risk to data accuracy and operational resilience. Factoring & Leasing is the only organised stack. A clear, actionable technology upgrade plan is required.
- 03 PQR Standardisation

HIGH

PQRs are submitted in multiple formats across entities, fragmenting group-level monitoring. Group prototype PQR dashboard has been presented to Beltone Risk & IT. Execution plan with IT required; follow-up call to be scheduled on forward-looking scenarios.
- 05 Operational Risk & RCSA

HIGH

RCSA process has been kicked off but risk-mitigation and control plans are not yet in place. Segregation of duties shows material weaknesses. Maker-checker absent in core teams.

- 02 Fraud Risk

HIGH

Identified incidents require immediate attention. Lack of automation and weak controls increase exposure. Root-cause analysis, corrective action plan, and formal incident documentation must be prioritised without delay.
- 04 Performance Risk (Risk-team HR)

HIGH

Risk function lacks defined objectives, structured KPIs, formal documentation, and clearly articulated roles & responsibilities. Needs a formal HR governance framework with measurable risk outcomes.
- 06 Governance & Compliance

HIGH

Non-compliance with policies; risk control over subsidiaries is weak. Lack of standardised reporting and trend visibility limits oversight. Group frameworks shared; alignment review pending.

FINDINGS, RISK LEVELS & ACTIONS

CAIRO • MAY 2026

PAGE 2 OF 2

Detailed assessment & *action plan*.

iii

Detailed *findings & actions*.

#	CATEGORY	FINDING	RISK	ACTION ITEMS	OWNER
01	Technology & Data Integrity	Manual processes dominate; only Factoring & Leasing organised. Direct risk to data accuracy, controls, and scalability.	HIGH	- Develop a technology upgrade roadmap by entity - Automate top-10 manual workflows - Implement core data-quality controls and lineage - Define interim manual-control compensating measures	
02	Fraud Risk	Identified incidents pending closure. Limited automation and controls elevate exposure across origination and post-disbursal.	HIGH	- Conduct root-cause analysis on identified incidents - Issue corrective action plan with timelines - Stand up a formal fraud incident register - Refresh KYC / AML controls and monitoring	
03	PQR Standardisation	Reports submitted in varied formats; trends unclear; ad-hoc submissions across entities. Group prototype demoed to Beltone Risk & IT.	HIGH	- Adopt group PQR template across all entities - Define IT execution plan & integration milestones - Schedule call on forward-looking scenario design - Set monthly cadence with Group Risk review	
04	Performance Risk (Risk-team HR)	No defined objectives, structured performance metrics, formal documentation, or articulated R&R for the risk function.	HIGH	- Define risk-team objectives aligned to group KRIs - Issue role descriptions & performance metrics - Establish formal HR governance framework - Set quarterly performance review cycle	
05	Operational Risk • RCSA & SoD	RCSA initiated but mitigation & controls not designed. Segregation-of-duty gaps; no maker-checker in core teams.	HIGH	- Close RCSA cycle with mitigation plans per risk - Design & deploy SoD matrix; close conflicts - Implement maker-checker workflow in core processes - Schedule control-testing and KCI tracking	
06	Microfinance • Black Box & Key-man	Limited transparency into microfinance operations; decision-making centralised on a single individual; low appetite for technology adoption.	HIGH	- Onboard MF to group risk visibility & reporting - Define succession plan to remove key-man dependency - Mandate technology adoption roadmap - Embed a Group Risk officer for 90-day handhold	
07	Seven • Maker-checker & Tech	Limited advanced tech infrastructure; absence of maker-checker controls; outdated practices limiting growth.	MEDIUM	- Implement maker-checker workflow in priority processes - Tech-infrastructure assessment & modernisation plan - Phase out outdated practices on quarterly review	